THE UNITED REPUBLIC OF TANZANIA
ORGANIZATION OF HEADS OF NON-GOVERNMENT SECONDARY SCHOOLS (OHONGSS)
KIGOMA REGION

FORM FOUR MOCK EXAMINATION

062 **BOOK KEEPING**

TIME: 3HOURS **YEAR: 2024**

Instructions

1 This paper consists of sections **A, B** and **C** with a total of **nine** (**9**) questions.
2 Answer all questions in both sections
3 Section **A** carries fifteen (15) marks, section **B** forty (40) marks, and section **C** carries forty five (45) marks.
4 All writings must be in blue or black ink pen and all drawings should be in pencil.
5 Non-programmable calculators may be used.
6 Cellular phones, programmable calculators and any unauthorized materials are not allowed.
7 Write your Examination Number on every page of your answer booklet (s)

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SECTION A (15 Marks)

Answer **all** questions in this section.

1. For each of items (i) – (x), choose the correct answer from among the given alternatives and write its letter beside the item number in the answer sheet provided.

(i) Help Mr. Wakamoga an Auditor of Kwanza Company who wants to identify which among of the following errors will affect trial balance:-

A. Payment to Samwel credited to Samweli account
B. Payment to Samweli debited to Someone's account
C. Payment to Samweli was not recorded
D. Payment to Samwel was credited to Samwel and debited to bank account
E. Payment to Samwel was not recorded with wrong amounts in the accounts.

(ii) How much will be the value of credit sales if opening balance of debtors was Tzs 250,000 receipts from debtors Tzs 500,000 receipts from debtors Tzs 500,000, interest on overdue Tzs 50,000 set – off against purchases Tzs 70,000 and closing balance Tzs 100,000/=?

A. Tzs 320,000
B. Tzs 330,000
C. Tzs 230,000
D. Tzs 370,000
E. Tzs 270,000

(iii) The purchases of computer on credit from Saulo for resale should be recorded by:-

A. Debit computer account, credit Saulo account
B. Debit purchases account, credit Saulo account
C. Debit purchases account, credit Saulo account
D. Debit computer account, credit cash account
E. Debit Saulo account, credit computer account.

(iv) On 1st January Kibwana had net assets estimated at Tzs 500,000. During January he got Tzs 10,000 from winning Instant lottery. He has a habit of taking out Tzs 2,500 daily. His net assets at the end of January is worth Tzs 600,000. How much is Kibwana's profit?

A. Tzs 185,000
B. Tzs 107,500
C. Tzs 35,000
D. Tzs 92,500
E. Tzs 165,000

(v) Which of the following terms best describes the authorization granted by Mr. Kapunya to Exim Bank to pay monthly Star Times subscriptions on his behalf?

A. Bank charges
B. Direct transfers
C. Standing cheque
D. Standing order
E. Direct credit

(vi) How much should be reimbursed to Ashura petty cashier at Bitale Health centre if she spent Tzs 230,000 during the month from Tzs 300,000 being received as a float from chief cashier?

A. Tzs 70,000
B. Tzs 230,000
C. Tzs 530,000
D. Tzs 300,000
E. Tzs 500000

(vii) A form one student at Kigurunyembe secondary school was given a task to prepare a trial balance. Help him to identify which among the following will not be recorded in his statement.

A. Carriage outward
B. Opening stock

C. Closing stock
D. Wages and salaries
E. Accounts payables

(viii) After receiving perfumes from Dubai, Mr. Kalisa assures his principal to bear any risk that will rise in the sales of consigned items including bad debts. For that case, a consignor should entitle Mr.Kalisa with:-

A. A del – credere commission
B. A brokerage commission
C. A sales commission
D. A risk commission
E. An interest

(ix) A machine was bought at a cost of Tzs 10,000 with with a salvage of Tzs 256 and useful life of four years. How much will be the value of depreciation in the second year if reducing balance method is applied?

A. Tzs 6000
B. Tzs 2,400
C. Tzs 4,000
D. Tzs 9,600
E. Tzs 3840

(x) Amanda withdrew cash Tzs 450,000 from bank, what is the name of this situation if will be recorded in two column cash book

A. Single entry
B. Double entry
C. Contra entry
D. Triple entry
E. Journal entry

2. Match the explanations of the types of costs in column A with the type of that costs in column B by writing the letter of the correct response beside the item number in the answer sheet provided.

Column A	Column B
(i) Costs which are easily identified with the product produced	A. Manufacturing costs
(ii) Costs arising from financial decisions and transactions	B. Conversion costs
(iii) Costs incurred by the firm to stimulated the demand of products produced	C. Factory overhead costs
(iv) Costs resulted from summation of all direct costs	D. Direct costs
(v) Costs incurred by the firm which are not direct attached to the product produced.	E. Administrative costs
	F. Selling and distribution costs
	G. Financing charge costs
	H. Prime costs

SECTION B (40 Marks)

Answer **all** questions from this section.

3. (a) Write short notes of the following terms as used in book – keeping
   (i) Book – keeping
   (ii) Management audit
   (iii) Dual aspect concept
   (iv) Controller and Auditor General
   (v) Depreciation

(b) Complete the following table by showing the account to be debited and the account to be credited

S/N	**Transaction**	**Account to be debited**	**Account to be credited**
(i)	A proprietor invested amount of cash in business.		
(ii)	Amount received from debtor by cheque		
(iii)	Cash sales to date		
(iv)	Goods taken from the business for personal use		
(v)	Tandahimba Ltd returned goods sold on credit		

4. You have extracted a trial balance and drawn up accounts for the year ended 31st December 2017. There was a shortage of Tzs 3,120,000 on the credit side of the trial balance, a suspense account being opened for the amount. During 2018, the following errors made in 2017 were found:-
   (a) Tzs 5,000,000rent received has been entered in the sales account.
   (b) Purchases book had been overcast by Tzs 400,000
   (c) Private purchases of Tzs 5,600,000 had been included in the business purchases.
   (d) Bank charges Tzs 880,000 entered in the cash book have not been posted to the bank charges account.
   (e) A sale of goods to Haidari Tzs 9,200,000 was correctly entered in the sales day book but entered in the personal account as Tzs 12,800,000.

Required:

(i) Show the requisite journal entries to correct the errors.
(ii) Write up the suspense account showing the correction of the errors.
(iii)The net profit originally calculated for Tzs 11,360,000. Show your calculation of the correct figure.

5. (a) Nungwi fishing Enterprises has invested in the fishing industry. From the following financial information, prepare the purchases ledger control for the month of July 2019.

	TZS
Purchases ledger balance $^{b}/_{d}$	104,500
<u>Total in the month</u>:	
Credit purchases	369,500
Returns outwards	51,590
Discount received	26,840
Cheque paid to suppliers	226,600
Cash paid to suppliers	63,800
Interest charged by creditor	10,000
Set off against sales ledger	12, 000
Cash refund from creditors for overpaid amount	13,000

(b) Using the following information of Micheweni Football Club, ascertain the accumulated fund as at 31st December 2020.

	Tzs
Land and building	10,000,000
Sports equipment	1,000,000
Debtors	500,000
Loan	2, 000,000
Creditors	6,000,000
Fixture and fittings	900,000
Cash	1,500,000
Bank	3,000,000
Accrued salary expenses	600,000

6. Kassimu sells goods on credit to various customers who normally return goods for various reasons. The following returns were received for the month of June 2020 and credit notes were issued accordingly.
   June 2: Mambo LTD returned 10 packets of rice @ Tzs 22,000 because they were spoiled. Credit note number 01280 was issued.
   8: Rudia returned the following goods and a credit note number 01281 was issued
   3 pairs of running shoes @ Tzs 60,000 because they were oversize.
   2shirts @ Tzs 12000 because they were of wrong colour
   18: Kifundo Enterprises returned the following goods and credit note number 01282 was issued.
   3boxes of toothpaste @ Tzs 26,000 because they were of wrong type
   2pieces of writing pads @ Tzs 23,500 because they were damaged.
   You are required to prepare a sales returns day book.

SECTION C (45 Marks)

Answer **all** questions from this section.

7. Maruku Enterprises has invested in retail business. They do not keep full set of accounting records. From the following incomplete records provided to you, prepare income statement for the year ended 30th June 2021 and statement of financial position as at that date.

	30th June 2020	30th June 2021
	"Tzs"	"Tzs"
Furniture	200,000	240,000
Inventory	120,000	40,000
Accounts receivables	240,000	280,000
Prepaid expenses	-	80,000
Accounts payable	80,000	?
Accrued expenses	24,000	40,000
Cash	44,000	12,000

   Receipts and payments during the year
   Receipts from account receivables 840,000

Paid to account payables 400,000
Carriage Inwards 80,000
Drawing 240,000
Sundry expenses 280,000
Furniture purchased 40,000

Other information include:-

There was considerable amount of cash sales. Credit purchases during the year amounted to Tzs 460,000. Provide a provision for doubtful debts to the extent of 10 percent on debtors.

8. Shehoza, Shembilu and Shedafa entered into a joint venture which deals in carrots. The transactions connected with this venture were:-

January 08: Shehoza rented land costing Tzs 156,000
10: Shembilu supplied seeds costs Tzs 48,000
17: Shehoza employed labour for planting Tzs 105,000
19: Shembilu charged motor expenses for Tzs 17,000
30: Shehoza employed labour, for fertilizing Tzs 36,000

February 08: Shehoza paid the following expenses, sundry expenses Tzs 10,000, Labour Tzs 18,000, fertilizers Tzs 29,000

March 17: Shedafa employed labour for lifting carrots Tzs 73,000
30: sales expense paid by Shedafa Tzs 39,000
31: Shedafa received cash from gross proceeds of sales Tzs 987,000.

Required:

Show the joint venture accounts in the books of Shehoza, Shembilu and Shedafa. Also show in full method of arriving at the profit on the revenue which is to be apportioned Shehoza $^{7}/_{12}$ Shembilu $\frac{1}{4}$ and Shedafa $\frac{2}{12}$ by preparing a memorandum joint venture account.

9. Goods are invoiced by Shirima to his agent Makumbi at a selling price Tzs 400,000, and incurred freight and packing expenses Tzs 17,000, Insurance Tzs 12,000 and cartage Tzs 10,000. At the end of a half the year 30th June 2021, Shirima received an account sale showing $\frac{1}{2}$ of goods were sold for Tzs 900,000. One fourth of the consignments was lost for fire and a claim of Tzs 80,000 was recovered. The agent Makumbi incurred the following expenses. Import duty Tzs 50,000, storage Tzs 20,000 and selling expenses Tzs 28,000. He received 10% commission on gross sales.

Required: prepare the following accounts:-

(i) Goods sent on consignment

(ii) Consignment account

(iii)Consignee account